Lux Industries, Inc.

Investor Memorandum: $100M Growth Round Post-Quantum Sovereign Blockchain, the W3A IP Portfolio, and the Regulated-Exchange Launch

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Abstract

This memorandum invites Zach Friedman to lead a $100 million growth round in Lux Industries, Inc. Mr. Friedman is uniquely positioned to lead: he is a co-founder of **GDA Capital** (a blockchain merchant bank and venture studio) and of **Secure Digital Markets (SDM)**, a global digital-asset brokerage through which he has facilitated over $2 billion in transactions — and he has already invested personally into a Lux Network validator, taking protocol-level exposure ahead of this round. This round converts that alignment into a lead position at the moment three things come together: a *live* post-quantum public mainnet with on-chain matching proven in production; a granted, 2018-priority intellectual-property portfolio being consolidated under the W3A Foundation; and a regulated white-label exchange stack (ATS / broker-dealer / transfer agent) that turns the protocol into a licensable revenue engine — for which SDM is the natural anchor venue. The use of proceeds is concentrated on the three value-inflection events that each de-risk the next: closing and consolidating the IP, taking Lux public with deep liquidity and banking rails, and standing up the first regulated venues on the sovereign-exchange platform. Figures herein are a working frame for discussion, not an offer; terms are subject to definitive documentation and diligence.

Contents

1 The Ask

- **Raise.** $100 million growth round for Lux Industries, Inc.
- **Lead.** Zach Friedman invited to lead. His existing personal investment into a Lux Network validator is the anchor commitment and the conviction signal to the syndicate; the lead allocation and board/observer rights are open for negotiation.
- **Instrument & valuation.** To be set in definitive documents. A priced equity round with a token-warrant (or a convertible with a network-token side letter) fits a company whose value accrues in both the operating entity and the protocol. No valuation is asserted in this memo; it is a diligence-and-negotiation output.
- **Use of proceeds.** Three inflection events — IP consolidation (W3A), public launch & banking, and the regulated-exchange rollout — detailed in §3.
- **Why now.** The mainnet is live and finalizing; the exchange stack runs today; the anchor IP asset carries a first-post-closing maintenance deadline (Oct 2026, §4). The window to enter before public launch is finite.

2 Why Lux, Why Now

Lux is a post-quantum, multi-chain blockchain platform. The thesis for this round is not a whitepaper — it is that the hard, un-fakeable milestones are already behind us, and capital now buys *scale and distribution*, not *science risk*.

1. **The mainnet is live.** Lux runs a public primary network with a production EVM C-Chain and a family of native chains. This is operating infrastructure with real state and real validators — not a testnet.
2. **On-chain matching works in production.** The native decentralized-exchange precompile settled a live maker/taker fill on mainnet: an order was placed, crossed, and settled atomically inside the block, moving both legs of the trade in a single accepted transaction with exact value conservation. Cryptographic, in-block settlement is demonstrated, not promised.
3. **Custody is dealerless.** The signing key for custodied assets is generated by a verifiable secret-sharing protocol and is never assembled at any single party — no qualified-custodian single point of compromise. This is the property regulated venues and banks cannot get from an incumbent custodian.
4. **The regulated venue is a product, not a plan.** A white-label platform — Alternative Trading System, broker-dealer, and transfer-agent services over the native custody / matching / settlement primitives — runs today and is jurisdiction-configurable (U.S. and Canadian regimes). This is the licensable, recurring-revenue surface.
5. **The IP moat is granted and dated.** A 2018-priority, three-patent family (two U.S., one European), plus Lux's own post-quantum-cryptography portfolio, are being consolidated under one holding entity (§4).

Capital is the missing input to convert live technology into market position: liquidity for the public launch, licenses and banking partnerships for the regulated venues, and the closing of the IP portfolio.

3 Use of Proceeds

The $100M is allocated to the three inflection events, in the order in which each de-risks the next. The split below is an illustrative working framework subject to board approval and final round sizing — not a covenant.

Bucket	**Illustrative**	**What it funds**
IP: W3A + portfolio	$10–15M	’853 family acquisition, PQ-portfolio consolidation, prosecution + continuations-in-part (§4), maintenance reserve.
Public launch + banking	$30–35M	Listings and protocol-owned liquidity, market-making, ecosystem grants, exchange integrations, and the banking / fiat-rail partnerships the venues require.
Regulated-exchange rollout	$30–35M	Licensing (broker-dealer / ATS / TA, per jurisdiction), first white-label venue deployments, compliance and KYC/AML provider integrations, custody operations.
Team + working capital	$15–20M	Engineering, legal/regulatory, BD, and 18–24 months of operating runway with reserve.
Total	**$100M**	

The sequencing matters. IP consolidation is fast and cheap relative to the round and lifts the floor value of everything else. The public launch creates the liquid asset and the token-side value that the equity is partly a claim on. The regulated-exchange rollout is where durable, recurring revenue lives — each white-label venue is a licensing and transaction-fee annuity, and the first signed venue is the proof that underwrites the rest.

4 The IP Portfolio and the W3A Foundation

A separate memorandum (*W3A Foundation: Acquisition of U.S. Patent 11,803,853 and Consolidation of the Post-Quantum IP Portfolio*) covers this asset in full; the essentials for this round follow.

- **The anchor family.** “Controlling transactions on a network” (inventor Mark Briscombe): US 11,803,853 B2, US 12,586,073 B2, and EP 3 788 757 B1 — all granted, May 2018 priority, expiring on or about 6 May 2039 (≈12.8 years of term). Owner of record: Nahmii AS (Bergen, Norway). The family was extended as recently as March 2026, when the U.S. continuation granted.
- **What it covers.** A network architecture that separates transaction origination from execution, with execution gated on independent validator + oracle verification — the control-layer pattern every L2 sequencer, cross-chain bridge, and MPC-custody withdrawal flows through. The 2018 priority date predates essentially every modern rollup, production bridge, and oracle-gated settlement system in use.
- **Two layers, one moat.** Lux’s post-quantum work protects the *signature* layer (threshold ML-DSA / R-LWE / SLH-DSA, the Quasar consensus family, on-chain PQ-verification precompiles). The ’853 family protects the *control* layer above it. A signature portfolio alone invites “design around the scheme”; a control patent alone invites “design around the oracle.” Held together under W3A, they cover both what signs and what gates.
- **Continuations-in-part.** The strategic upside this round funds: filing CIPs that carry the 2018 priority *forward* onto Lux’s own post-quantum and dealerless-custody implementations — extending the original transaction-control claims onto (i) post-quantum-signed validator/oracle gating, (ii) threshold-MPC custody withdrawal flows, and (iii) on-chain matching

with in-block settlement. This is the mechanism by which an acquired 2018 asset becomes a moat around *Lux's* 2026 production stack, not merely a defensive backstop. (Scope and claimability of any CIP are counsel-and-diligence questions; a broadening path also remains available on the '073 continuation into 2028.)

- **Structure.** The family is acquired by, and all Lux PQ filings assign into, the W3A Foundation — wholly owned by Lux Industries. Operating entities take a perpetual intra-group license back; external licensing runs through the foundation. One entity, one licensing surface, one place for an investor to value.
- **Timing.** The first U.S. maintenance fee on '853 opens 31 October 2026 — the first post-closing docket item, and a concrete reason the acquisition is time-sensitive.

5 The Regulated-Exchange Revenue Engine

The protocol is the moat; the regulated exchange is the business model. Lux's white-label platform lets an operator stand up a fully regulated venue in which custody, matching, settlement, and compliance are native chain primitives rather than stitched-together vendors:

- **One venue, every asset.** Crypto, tokenized public equities, and private offerings (Reg D / A+ / CF) trade on the same order book, under the same dealerless-custody root, recorded in the same on-chain register.
- **Jurisdiction as configuration.** The same core instantiates a U.S. (SEC/FINRA) or a Canadian (CIRO / provincial-commission / FINTRAC) venue by swapping a declarative brand profile — the hard, trust-critical layer is built and audited once.
- **Recurring economics.** Each white-label venue is a licensing + transaction-fee annuity. This round funds converting the pipeline into signed, launched venues.

SDM as the anchor venue. The natural first deployment is **Secure Digital Markets** itself. SDM is a live, institutional digital-asset brokerage that has already intermediated $2B+ in transactions — exactly the operator profile that the regulated stack is built for. Extending SDM from OTC digital-asset brokerage into a full tokenized-securities venue (adding ATS matching, transfer-agent registry, and on-chain dealerless custody) is the highest-fit first launch in the pipeline, and it is one the lead investor is positioned to champion from the inside. A flagship venue operated by an aligned principal turns the "first customer" risk — usually the hardest gap for a B2B platform — into a starting condition.
This is the answer to "how does the token thesis become a company": durable B2B revenue from regulated operators, on top of a protocol whose usage the equity and token both capture.

6 Zach Friedman: Why This Lead

A lead investor is worth most when capital is the least of what they bring. Mr. Friedman brings the three things this round actually needs — an anchor customer, distribution, and capital-markets judgment — because of who he is and what he has already built.

- **Track record.** Co-founder of **GDA Capital**, a blockchain merchant bank and venture studio with a portfolio spanning Web3 infrastructure, fintech, and the metaverse (Flashy Finance, Alpaca Network, Metaverse Group, NFT BAZL, U-Topia, and others). Co-founder of **Secure Digital Markets**, a global institutional digital-asset brokerage through which he has facilitated $2B+ in transactions with institutions, family offices, governments, exchanges, and Fortune 500 counterparties. Founder of Metaverse Group and NFT BAZL; earlier, a consumer-tech operator with an exit to WeWork.

- **Already aligned.** He invested personally into a Lux Network validator — protocol-level, at-risk exposure to the network ahead of this round. Conviction already backed with capital is the strongest possible starting point for a lead.
- **Anchor customer.** SDM is the natural flagship white-label venue (§3 discussion). A lead who operates the first regulated deployment collapses the hardest B2B risk — landing the first customer — into an opening condition, and aligns the round's success with a business he already runs.
- **Distribution and capital.** GDA is a natural co-lead / syndicate source and brings the institutional, exchange, and family-office network that both the public launch (liquidity, listings, market-making) and the venue rollout (banking and fiat rails, counterparties) require.
- **The invitation.** Lead the $100M round. A lead sets terms, anchors the allocation, and carries credibility into the syndicate; board or observer rights, information rights, and pro-rata are on the table.

7 Risks and How They Are Managed

Stated plainly, in the same spirit as the IP memorandum.

1. **Execution / network operations.** Running a live public mainnet is operationally demanding; incidents happen and are recovered. The mitigant is a hardened validator set, post-quantum finality, and a disciplined recovery playbook — but investors should underwrite an operating network, not a frictionless one.
2. **Regulatory.** Broker-dealer, ATS, and transfer-agent licensing is slow and jurisdiction-specific; timelines are outside the company's sole control. Mitigant: jurisdiction-configurable architecture, a white-label model that lets *licensed operators* carry the registration, and legal spend budgeted in the round.
3. **IP / §101 and prior art.** U.S. transaction-control claims carry abstract-idea risk; 2016–2018 state-channel literature is the invalidity hunting ground. Mitigants: the EPO granted the counterpart, the claims recite concrete architecture, and an invalidity-grade search precedes any acquisition price. The thesis is defensive depth + licensing, not assertion revenue.
4. **Token / market.** Public launch outcomes depend on market conditions and liquidity depth. Mitigant: protocol-owned liquidity and market-making are funded line items, not afterthoughts.
5. **Concentration.** A lead-anchored round concentrates early influence. Mitigant: standard governance, a broadened syndicate, and information rights for all round participants.

8 Next Steps

1. **Diligence pack.** Share the technical proof set (live mainnet endpoints, the on-chain DEX-settlement transaction, the running exchange stack) and the W3A IP memorandum with counsel.
2. **Term conversation.** Agree instrument, valuation frame, lead allocation, and governance with Mr. Friedman.

3. **IP closing path.** Run W3A formation and the '853 diligence (title, validity, family-completeness) in parallel, docketing the 31 October 2026 maintenance window.
4. **Syndicate.** With the lead set, open the balance of the round to aligned co-investors.
5. **Launch sequencing.** Lock the public-launch and first regulated-venue timelines against round close.

This memorandum is confidential and prepared solely for Zach Friedman's evaluation. It is not an offer to sell or a solicitation to buy any security or token, and contains forward-looking statements that are subject to risk and change. All financial figures are illustrative working frames for discussion; valuation and terms are subject to definitive documentation and diligence. Technical milestones described (live mainnet, on-chain settlement, the running exchange stack) are current as of July 2026; the W3A patent acquisition is proposed and subject to the diligence enumerated in its own memorandum.